scales tipped toward Yum! Its stock rose 25.4% from 2000 through 2002, while Yahoo!'s lost 92.4% cumulatively:

FIGURE 18-2 Yahoo! vs. Yum!

	2000	2001	2002
Yahoo!			
Total return (%)	–86.1	–41.0	–7.8
Net earnings ($ millions)	71	–93	43
Yum!			
Total return (%)	–14.6	49.1	–1.5
Net earnings ($ millions)	413	492	583

Notes: Total returns for calendar year; net earnings for fiscal year. Yahoo!'s net earnings for 2002 include effect of change in accounting principle.
Sources: www.morningstar.com

Pair 3: Commerce One and Capital One

In May 2000, Commerce One, Inc., had been publicly traded only since the previous July. In its first annual report, the company (which designs Internet "exchanges" for corporate purchasing departments) showed assets of just $385 million and reported a net loss of $63 million on only $34 million in total revenues. The stock of this minuscule company had risen nearly 900% since its IPO, hitting a total market capitalization of $15 billion. Was it overpriced? "Yes, we have a big market cap," Commerce One's chief executive, Mark Hoffman, shrugged in an interview. "But we have a big market to play in. We're seeing incredible demand…. Analysts expect us to make $140 million in revenue this year. And in the past we have exceeded expectations."

Two things jump out from Hoffman's answer:

- Since Commerce One was already losing $2 on every dollar in sales, if it quadrupled its revenues (as "analysts expect"), wouldn't it lose money even more massively?